

available of whatever guaranteed debt there is. Due to shortages of such investments, a perceived store of value could actually command a *zero* or even *negative* interest rate. For instance, the short term debt or currency of a sound foreign government might be in such demand for safety reasons that investors would pay for the privilege of owning it, as they did for owning Swiss francs in the late 1970s. In a debt crisis, if you knew that another government's bonds and bills would maintain or even improve their value as demand caused its currency to rise, would you balk at paying to own them? Judging which issues will survive is out of my field. Suffice it to say that one might do well investigating debt issued by and in countries with less outstanding debt than the United States.

## THE APPROACHING CRISIS

While debt securities are currently enjoying a rally, they will ultimately be the scene of staggering losses for institutional portfolios, including those of banks, corporations, pension funds, insurance companies and universities. Too many of these institutions have participated in buying every issue, even down to the lowest grade imaginable consumer IOUs for houses, cars, boats and mobile homes, which has been packaged by Wall Street and sold as investments. The slightest breeze of depression will begin to topple this inverted pyramid of confidence-sensitive promissory notes. At the end of the process, the public's beloved bond mutual funds will be devastated. A loss in values among all grades of debt securities is likely to occur whether the culmination of the slide into depression is inflationary or (as I expect) deflationary. Either way, the bond market will have to face the reality that trillions of dollars worth of long term debt cannot be serviced at interest rates over 3%, no matter what the government or the economy does. In fact, not just domestic debt, but currently outstanding *worldwide* debt cannot be supported, no matter how powerfully the economies of the world produce.

The next serious breakdown in bonds, reflecting rising yields in a deflationary environment, will precipitate a collapse of the global debt structure. What exists today is not merely risk but the recipe for an unprecedented financial disaster. Needless to say, the Elliott Wave outlook presented in this chapter is in stark contrast to prevailing opinion. People have no idea of the magnitude of the tidal change that is about to occur. One by one, investors will be confronted with the reality that the ocean of dollar-denominated debt currently outstanding cannot and will not be paid off. While a crisis is ultimately guaranteed, only deteriorating investor confidence will precipitate it. According to the Elliott Wave patterns, that change in psychology is very near at hand